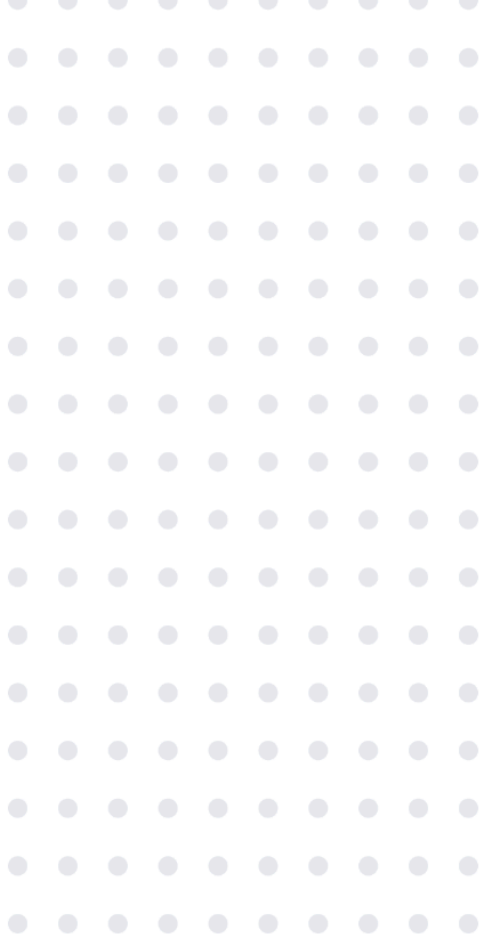




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Responsible sourcing
policy

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1. Introduction

Eternal Limited (“**Eternal**” / “**we / us**”) is committed to conducting business responsibly and ethically across our entire value chain. This Responsible Sourcing Policy (this “**Policy**”) serves as a guiding framework for all our procurement decisions, emphasizing transparency, fairness, and sustainability. We strive to build strong and mutually beneficial relationships with our suppliers, ensuring fair labour practices, environmental protection, and ethical business conduct throughout our supply chain. By integrating sustainability into our procurement processes, we aim to create a positive social and environmental impact while engaging effectively with stakeholders including our suppliers to develop a responsible, sustainable and efficient sourcing process.

2. Scope

The scope of this Policy is aligned with our Business Partner Code of Conduct and applies to all our ‘Business Partners’, which refers to all entities and individuals who supply any products, equipment, materials to, or provide services to, Eternal under a contract, agreement or arrangement. This Policy reflects the nine principles of the National Guidelines on Responsible Business Conduct (NGRBC) issued by the Ministry of Corporate Affairs, Government of India, and is designed to encourage compliance with ethical, social, and environmental standards across our supply chain. This Policy is also aligned with the International Bill of Human Rights, The ILO Declaration on Fundamental Principles and Rights at Work, the OECD Guidelines for Multinational Enterprises, the UN Guiding Principles on Business and Human Rights (UNGPs) and the Ten Principles of the UN Global Compact.

3. Objective

The objective of this Policy is to ensure that all products, materials and services that Eternal sources are obtained in an ethical, sustainable, and transparent manner, and in a manner which promotes social, environmental, and economic responsibility throughout its operations and value chain. It also aims to ensure that a Responsible Sourcing mechanism is in place which: (i) is inherently robust and comparable with recognized good and prudent industry practices; (ii) aligns with Eternal’s vision and sustainability goals; (iii) is transparent and objective; and (iv) demonstrates the best compliance and Environmental, Social and Governance (ESG) standards.

The aims/objectives of this Policy are to:

- Procure goods, materials and services of the highest quality, meeting Eternal’s business requirements in the most cost effective, efficient, sustainable, ethical, transparent and timely manner;
- Ensure that all Business Partners have a clear understanding of the responsible sourcing requirements set forth in this Policy;
- Develop long-term business relations with Business Partners, especially those who demonstrate strong performance in sustainability by continuously measuring, monitoring, assessing, reporting and improving their ESG performance, and recognize and reward such Business Partners;
- Engage and collaborate with Business Partners to improve their sustainability practices and ensure consistent compliance with Eternal’s sourcing standards;

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- Develop reliable and responsible sources of supply and services to meet business requirements;
- Conduct periodic risk assessments and due diligence to identify and mitigate social, environmental, and ethical risks within the supply chain;
- Ensure compliance with all applicable laws and all requirements to obtain and maintain necessary permits and registrations with respect to all procurement-related activities, and ensure compliance with rules and regulations issued by governmental and regulatory authorities such as the Securities and Exchange Board of India (SEBI) relating to procurement-related activities (such as the NGRBC and SEBI's Business Responsibility and Sustainability Reporting regulatory requirements).

4. Responsible sourcing guidelines

There are 8 Responsible Sourcing Guidelines outlined in this Policy which establish the standards for sourcing goods, materials and services in an ethical, transparent and sustainable manner. These guidelines ensure that all Business Partners align with Eternal's values regarding environmental impact, labour rights, and business integrity. Our aim is to create a positive and transparent supply chain that prioritizes social responsibility and long-term sustainability.

The following are the core guidelines of our Responsible Sourcing Policy:

Guideline 1: Fair business practices

Business Partners must ensure integrity, complying with all applicable laws, including those relating to anti-bribery and anti-corruption, fair competition, transparency, and the avoidance of conflicts of interest. All interactions must be conducted truthfully, transparently, and respectfully, while safeguarding Eternal's reputation and avoiding any unauthorized claims or defamatory actions.

Guideline 2: Human rights and labour practices

Business Partners must comply with all applicable labour laws, uphold human rights, and foster a safe and respectful workplace. This includes prohibiting child labour and modern slavery, ensuring fair labour practices, and creating a work environment free from discrimination and harassment, including prevention of sexual harassment (POSH).

Guideline 3: Health and Safety practices

Business Partners must prioritize employee and worker safety and well-being by ensuring safe working conditions and complying with all applicable health and safety regulations.

Guideline 4: Environmental measures

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Business Partners must prioritize environmental sustainability by minimizing their ecological impact through a) compliance with all applicable environmental laws and regulations, b) implementing measures to reduce greenhouse gas (GHG) emissions, air emissions, energy consumption, water consumption, and waste generation, and c) effective prevention of pollution and management of waste, while aligning operations with global environmental standards, best practices and sustainability goals.

Guideline 5: Data protection and privacy

Business Partners must protect Eternal's confidential information, intellectual property, and user privacy. This includes a) ensuring compliance with all applicable laws relating to data privacy and protection, confidentiality and prevention of insider trading, b) implementing robust data security measures, c) respecting intellectual property rights, and d) establishing transparent grievance redressal mechanisms.

Guideline 6: Financial integrity and compliance

Business Partners must maintain the highest standards of financial integrity, including a) accurate and transparent financial record-keeping, b) compliance with anti-money laundering (AML) and anti-corruption laws, and avoidance and c) prevention of any fraudulent or illegal activities.

Guideline 7: Cooperation in assessments

Business Partners must fully cooperate with all audits, assessments, and compliance check activities conducted by or on behalf of Eternal, by providing timely information and access, and promptly addressing and remediating any findings or requests.

Guideline 8: Quality

Business Partners must consistently strive to deliver high-quality products/ services as per the business contract, by maintaining robust quality management systems for operational excellence.

Principle-wise detailed guidelines are mentioned in our Business Partner Code of Conduct.

5. Business partner identification, assessment and onboarding

- Eternal aims to assess new Business Partners based on a commercial, technical, compliance and sustainability performance-related evaluation, including the following parameters – quality, price, payment terms, responsible practices (sustainability, transparency, ethical practices), delivery timelines, etc.
- This Policy encourages open and transparent competition among Business Partners through fair negotiation and competitive bidding.
- For select Business Partners (determined by Eternal based on applicable guidelines), appropriate assessments on ESG metrics based on the 9 Principles of NGRBCs are carried out from time to time, including (but not limited to) the following parameters:

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- Environmental parameters (GHG emissions, waste management, water and energy conservation, etc. and monitoring and transparency, etc.)
- Compliance with environmental and social standards such as SA 8000, ISO 14001, OHSAS 18001 or relevant labels like Rainforest Alliance, Rugmark, etc.
- Ethical practices (Human Rights assessment, fair labour practices, health & safety measures, well-being of workforce, gross wages paid to female employees, POSH complaints, Health & Safety related incidents and measures, etc.)
- Governance parameters (instances of breaches, compliance policies, job creation in smaller towns, details of businesses conducted with micro, small and medium enterprises (MSMEs), etc.).
- In addition to assessments in accordance with this Policy, Eternal realises the importance of continuously engaging with its Business Partners for shared insights related to responsible sourcing and achieving continuous improvement. Through Business Partner engagement programs and provision of a dedicated communication channel to address all matters related to ethical sourcing, sustainability, and compliance with our sourcing Policy - 'esg-suppliers@eternal.com', Eternal encourages its Business Partners to foster sustainable initiatives within their operations.

6. Communication of policy

Eternal is committed to responsible sourcing and transparency by ensuring that this Policy is available online. The Policy is regularly reviewed and updated to align with changing industry standards, regulatory requirements, and the expectations of our Business Partners, thereby ensuring that Eternal's sourcing practices remain sustainable and responsible.

7. Compliance

The Chief Sustainability Officer (CSO) and the Head of Procurement of Eternal shall be responsible for supervision of this Policy. Any queries regarding the Policy shall be referred to the Sustainability and Procurement teams, who are in charge of administering, enforcing and updating this Policy.

8. Amendment

Any change in the Policy shall be approved by the Board of Eternal Limited. The Board shall have the right to withdraw and/or amend any part of this Policy or the entire Policy, at any time, as it deems fit, or from time to time, and the decision of the Board in this respect shall be final and binding.

9. Version history

Version	Approved In	Description
Version 1	Mar 2025	Original Policy